objective of extending the concept of state partnership to the important sector of commercial banking. The amalgamating banks, according to the Committee's recommendation, were to be the Imperial Bank and the ten 'State-associated' banks, viz., the State Bank of Saurashtra, the Bank of Patiala, the Hyderabad State Bank, the Bank of Bikaner, the Bank of Jaipur, the Bank of Rajasthan, the Bank of Baroda, the Bank of Indore, the Bank of Mysore, and the Travancore Bank.[20]

The Committee of Direction submitted its findings in three reports: the survey report, general report, and the technical report. Besides containing the recommendations outlined above, the general report noted the Committee's observations and suggestions on a number of other aspects of policy connected with rural credit, such as the stabilization of rural prices, the control of forward markets, the development of village roads, and the reorganization of the administrative set-up in so far as it was related to rural development. A very important part of the proposals concerned the training of personnel. Attention was drawn to the need for right selection and training and emphasis was laid on the 'supreme importance of building up a body of workers, official and non-official, who, in implementing the programmes of the government, would not only be skilled, honest, and efficient, but also, in particular, be sympathetic in their understanding of rural conditions and responsive in their endeavour to fulfill rural needs.'[21]

The first meeting of the Imperial Bank's Central Board after Deshmukh's announcement was convened on January 4, 1955. Unhappy with events, the Board passed several resolutions, in spite of dissent from A.D. Gorwala, the government nominee on the Board, who had recently headed the AIRCS. The gist of the resolutions adopted by the Board was that the government had accepted the principle of nationalization without giving the bank any opportunity to express its views. The Board resolved that the government was not justified in taking a decision based on the AIRCS report since the Committee of Direction of the AIRCS had not given any opportunity to the Board to place their case before the Committee.[22] This protest was to no avail.

BIRTH OF THE STATE BANK OF INDIA